

Fearnleys Dry Bulk Weekly

Sep 16, 2026





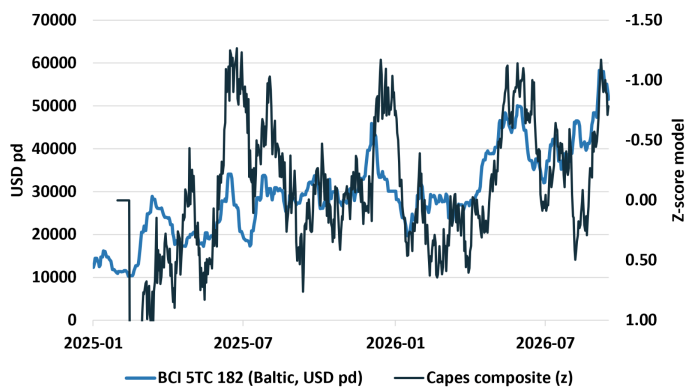
Capesize/Newcastlemax

We made a model consisting of factors like the global ballast/laden vessel ratio, West of Singapore ballasters, and a couple of other AIS indicators. Below the charts are tables showing where the model sits currently. It is only at extremes that these models give very clear suggestions about the near-term outlook.

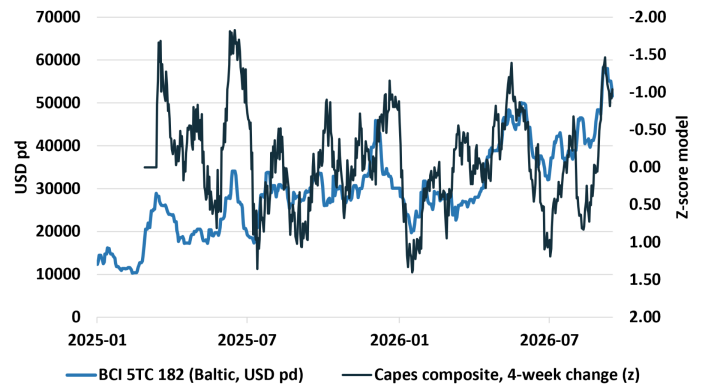
The models remain bearish, although slightly less so than last week.

South Atlantic shipment volume growth remains very high, with total shipments in the region up 15% year over year over the previous six weeks. Through that period, Brazilian iron ore and Colombian coal shipment growth was negative, but all other trades were positive. Freight levels could prove to be the limiting factor going forward, as its making up a significant share of both CFR China iron ore and bauxite prices now.

Cape/Newc Composite Model



Cape/Newc Composite Model - 4 Weeks Change



Capesize composite vs forward BCI 5TC (182k), USD/day

Average change in the BCI 5TC 182 over the next 2, 3 and 4 weeks, by composite bucket. Latest reading 15-Sep-2026: -0.78 (highlighted).

Model reading	Obs	+2w \$/d	up %	+3w \$/d	up %	+4w \$/d	up %
< -1.00	32	-6,420	14%	-6,814	14%	-5,339	29%
-1.00 to -0.50	107	-2,833	24%	-3,490	22%	-3,596	31%
-0.50 to 0.00	164	2,585	65%	2,709	70%	2,677	69%
0.00 to +0.50	200	2,269	69%	3,013	74%	3,653	68%
+0.50 to +1.00	59	366	58%	1,284	49%	1,078	42%
> +1.00	17	9,320	94%	11,420	88%	10,706	88%
All observations	579	949	55%	1,346	58%	1,709	57%

Source: Fearnleys Research; AIS trade indicators & Baltic Exchange. Jan-2025 to 15-Sep-2026, daily overlapping windows.

Capesize composite 4-week change vs forward BCI 5TC (182k), USD/day

Average change in the BCI 5TC 182 over the next 2, 3 and 4 weeks, by 28-day change in the composite. Latest reading 15-Sep-2026: -1.04 (highlighted).

Model reading	Obs	+2w \$/d	up %	+3w \$/d	up %	+4w \$/d	up %
< -1.00	50	-5,060	15%	-6,150	13%	-5,757	26%
-1.00 to -0.50	102	-1,374	39%	-2,547	37%	-3,320	37%
-0.50 to 0.00	141	1,899	66%	2,050	69%	2,834	62%
0.00 to +0.50	151	654	51%	1,951	55%	2,739	59%
+0.50 to +1.00	81	2,827	72%	4,442	80%	4,594	75%
> +1.00	26	5,651	85%	4,937	96%	4,515	88%
All observations	551	949	55%	1,346	58%	1,709	57%

Source: Fearnleys Research; AIS trade indicators & Baltic Exchange. Jan-2025 to 15-Sep-2026, daily overlapping windows.

Panamax/Kamsarmax

Shipment volume growth continues to be lower than DWT supply growth. Through week 37, growth was 2.8%, compared to DWT supply growth of 4.2%. Comparing the last 10 weeks to the same period last year, shipment volume growth was -1.9%.

The comment from last week in terms of the near-term indicators still applies:

"The correlation between p6 and the South Atlantic indicator continues to be accurate. The market has corrected slightly since last week, and is suggested to continue softening.

The Pacific indicator and the coal futures curve have been less accurate in predicting the market in the last weeks. These indicators suggest the market will fall in the next few weeks."

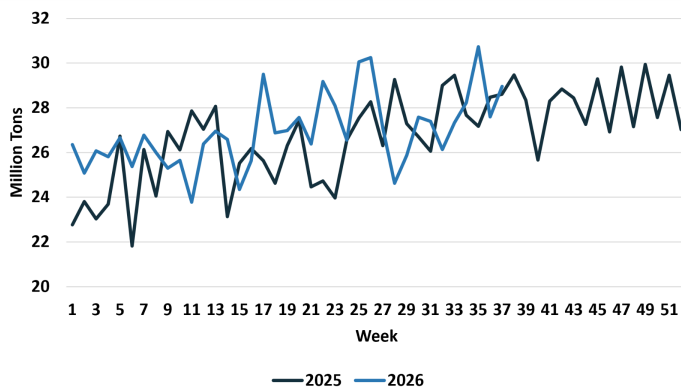
Top left chart: Shipment volumes were up 2.8% year on year through week 37. In the last ten weeks, volumes were down -1.9% compared to the same period last year. Supply growth was 4.2% at the latest reading.

Top right chart: The 2-month lead of the coal futures curve suggests the market could be past the peak.

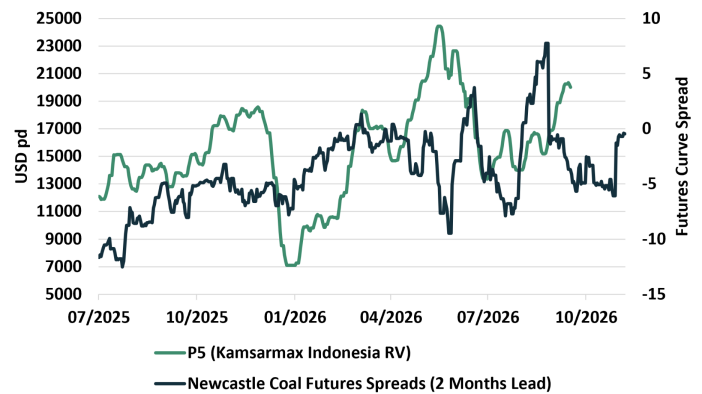
Bottom left chart: The Pacific tightness indicator suggests market softness going forward.

Bottom right chart: The SATL tightness indicator suggests P6 could peak this week, then soften going forward.

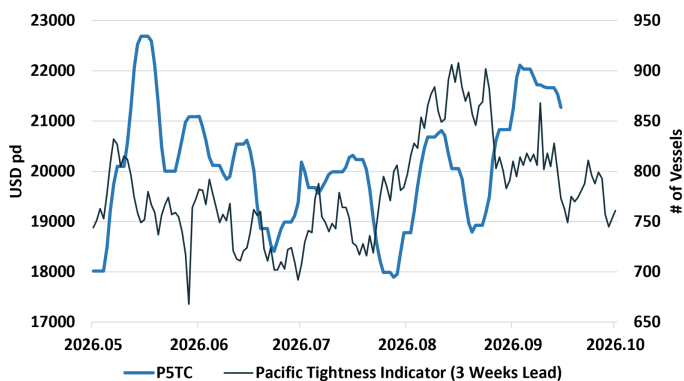
Weekly Shipment Volumes



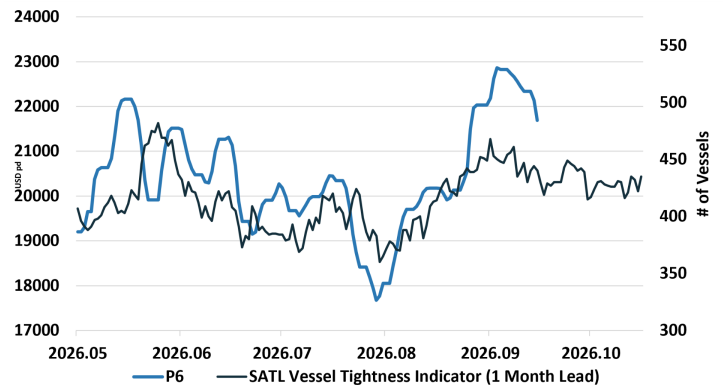
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 3 Weeks)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)





Supramax/Ultramax

Over the last week, shipment volume growth increased a bit compared with the same period last year, to 3.1%. In the last 10 weeks, volume growth was just 0.6%. DWT Supply growth remains at 5.2%.

The lower volumes are reflected in the ballast/laden vessel ratio shown below. This ratio has diverged from earnings over the last month and a half.

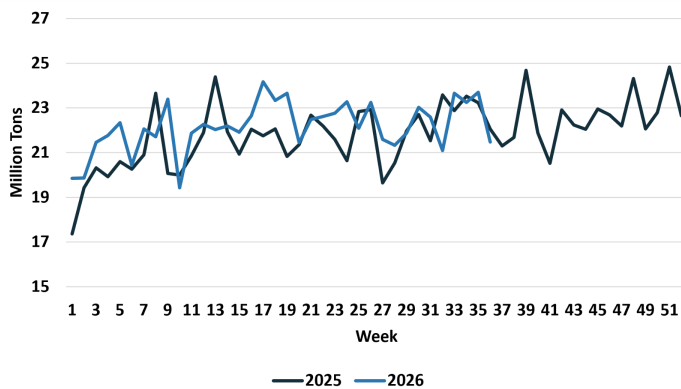
Top left chart: Weekly shipment volumes, 2026 ytd vs 2025.

Top right chart: S11TC vs the Ballaster/Laden vessel ratio. A lower ratio indicates a looser market balance, and vice versa. The index and the ballast/laden ratio has diverged from the index over the last month and a half

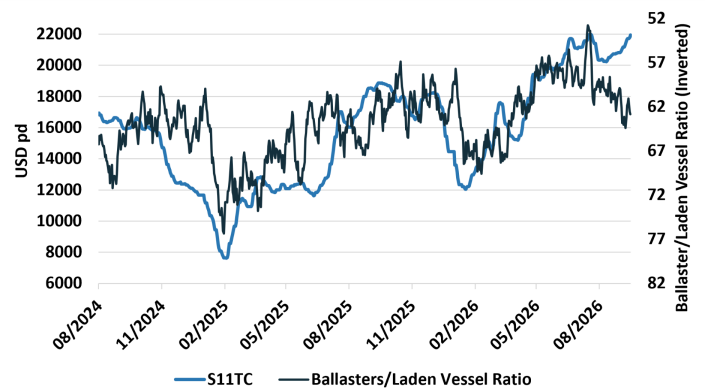
Bottom left chart: The industrial metals index is composed of copper, aluminium, zinc and nickel, and weighted according to market value. The 9-month change of this index has a high correlation with the 9-month change of the Ultramax 1-year TC rate, and leads by about 3 months.

Bottom right chart: The 9-month change of the price of copper has a high correlation with the 9-month change of the Ultramax 1-year TC rate. The copper price change leads by about 4 months.

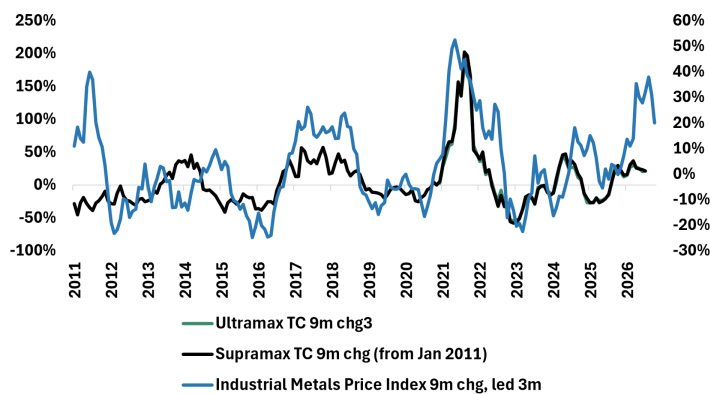
Weekly Shipment Volumes



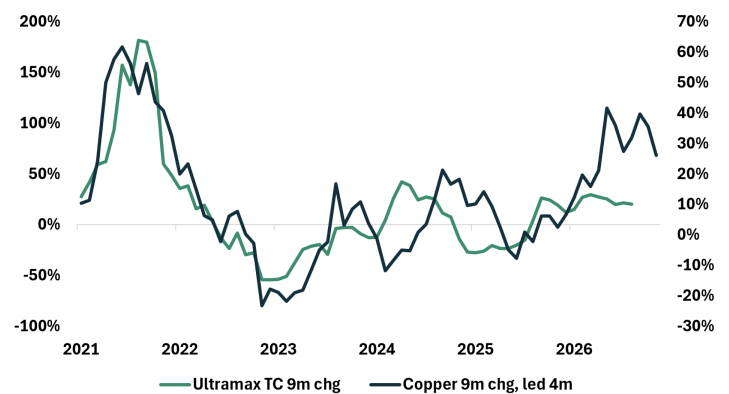
Ballaster/Laden Vessel Ratio vs S11TC



Industrial Metals Price Index vs Ultra/Supra 1 Year TC



Copper Price vs Ultramax 1 Year TC



Handysize

Through week 37, shipment volume growth grew by an estimated 0.7% compared to last year. DWT supply growth remains at 3.2%. The market remains firmer than the weak headline figures suggest. In the near-term, the strength of the Ultramax segment suggest continued sideways/slightly up in this segment to.

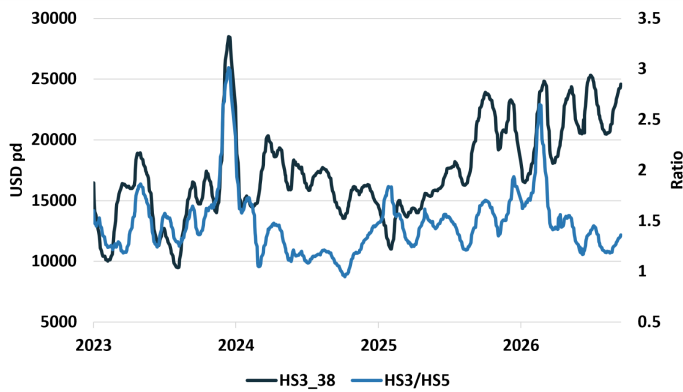
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 37, Handysize shipment volumes were 0.7% higher year on year, declining from the 3%+ figures seen in the last months. DWT supply growth was 3.2% at the latest reading.

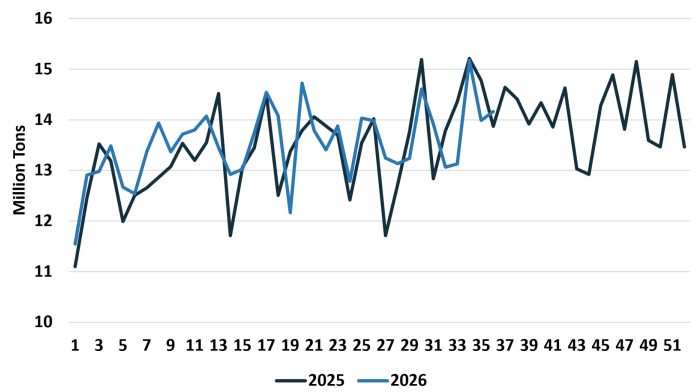
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The change in the price of copper is usually an accurate leading indicator for asset values.

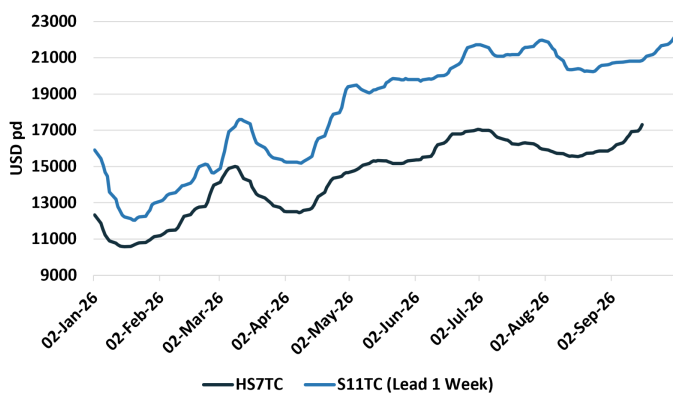
HS3 vs Ratio of HS3 and HS5



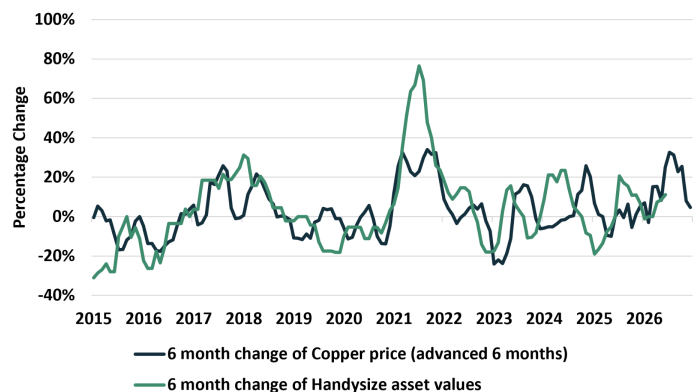
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



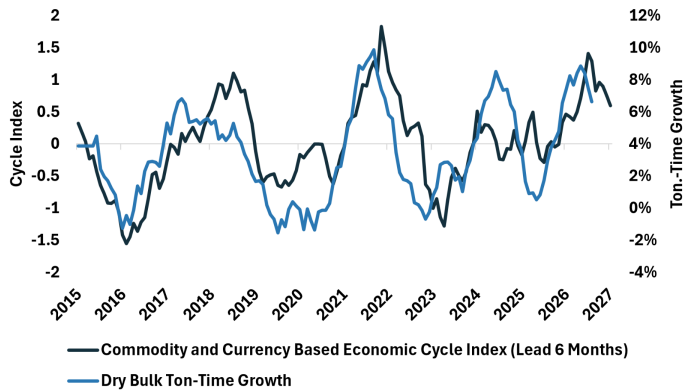
Copper Price 6 Months Change, 6 Months Lead, vs Handysize 10 Year Old 6 Months Change



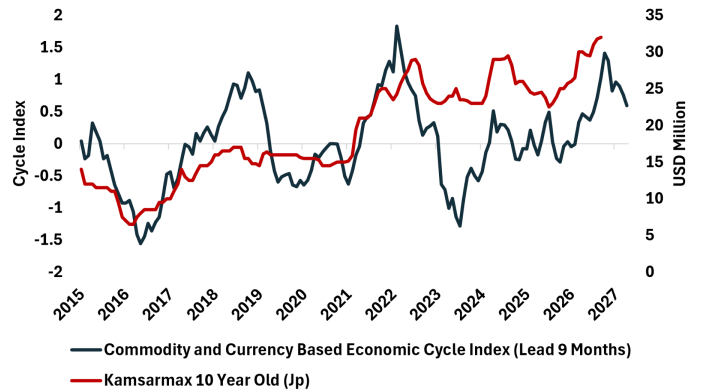


Fundamentals and Macro

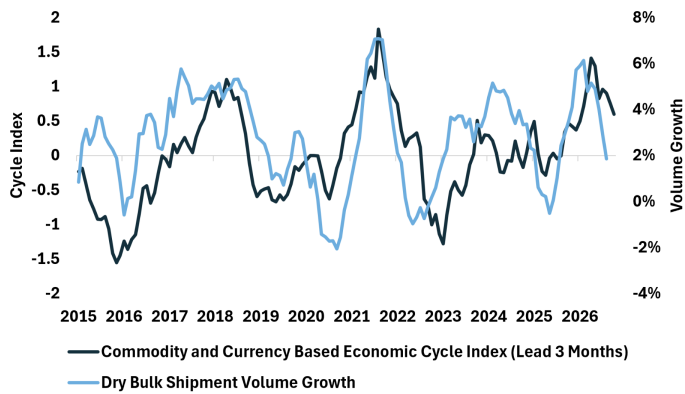
Economic Cycle Index vs Dry Bulk Ton-Time Growth



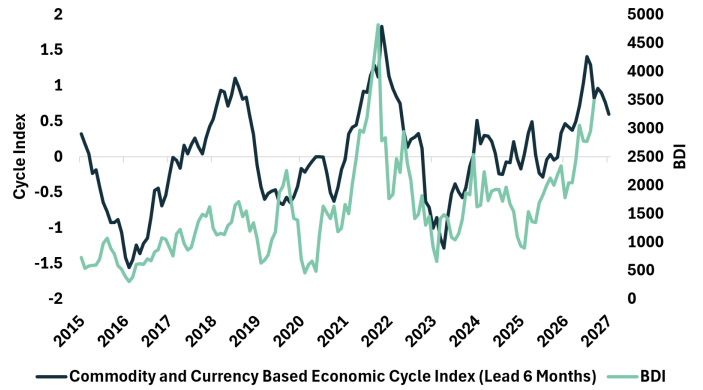
Economic Cycle Index vs Kamsarmax 10-Year Old



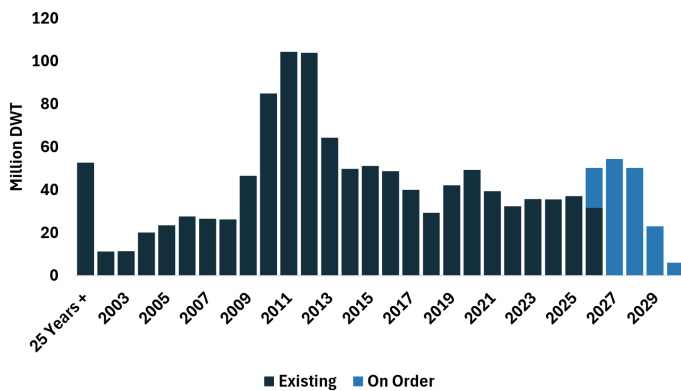
Economic Cycle Index vs Dry Bulk Volume Growth



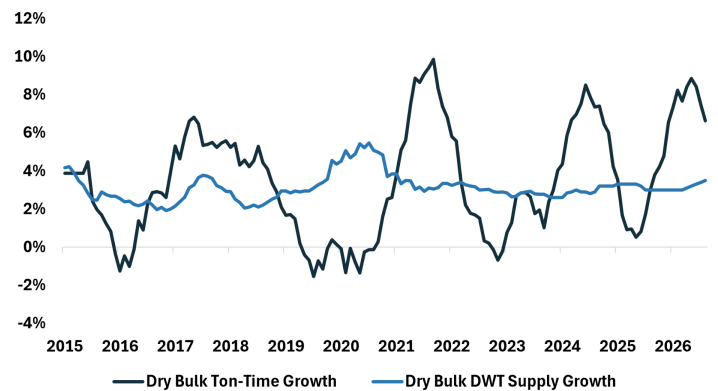
Economic Cycle Index vs BDI



Fleet Age Profile



Ton-Time Growth vs DWT Supply Growth





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